

SENIOR DEBT & PREFERRED EQUITY · \$17,970,734

Wylder Hotel Tilghman Island.

A \$17,970,734 capitalization — a \$12,840,000 senior first mortgage at 8.79% floating, interest-only for a three-year term, a \$770,000 acquisition loan, and \$4,360,734 of preferred equity — refinancing the existing loan, funding a full renovation, and acquiring the adjacent waterfront parcel on a 58-key resort in Talbot County, Maryland.

Bradley M. Buzil

SENIOR DIRECTOR · EXCLUSIVE CAPITAL ADVISOR

wylder

TILGHMAN ISLAND

October 7, 2026 · Tilghman Island, MD

Summary of the capitalization.

Marcus & Millichap Capital Corporation is placing a **\$17,970,734 capitalization** for Wylder Hotel Tilghman Island: a senior first mortgage, an acquisition loan on the adjacent waterfront parcel and a preferred equity tranche sized so that **no common equity is required at close**. The proceeds retire the existing loan, fund a full renovation of all 57 guest rooms, buy and renovate the adjacent residence and marina, and establish twelve months of debt service and preferred current-pay reserves.

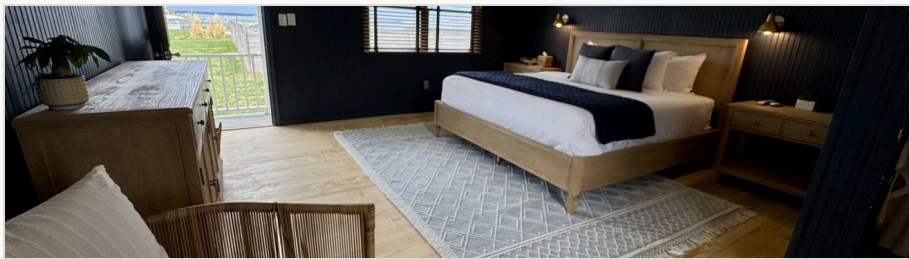
TOTAL CAPITALIZATION \$17.97M Senior, acquisition loan and preferred	SENIOR LOAN \$12.84M \$221,379 per key · 58 keys	ALL-IN RATE 8.79% Floating · SOFR 3.79% + 5.00% spread	TERM & AMORTIZATION 3 yrs Full-term interest-only
LTV AT CLOSE 60.0% Of \$21,400,000 as-is value	STABILIZED DSCR 2.37x 2028 · senior interest-only	STABILIZED DEBT YIELD 20.8% 2028 projected	PREFERRED EQUITY \$4.36M 17.0% · 10% current / 7% accrued



A 57-key waterfront resort on 8.10 acres, with an adjacent parcel under contract.

Wylder Hotel Tilghman Island sits on Tilghman Island in Talbot County, Maryland, between the Chesapeake Bay and the Choptank River — an 8.10-acre waterfront parcel with 1,100 feet of water frontage, a marina, pool, restaurant and boat bar. Operated under the Wylder Hotels brand, the property is mid-repositioning, with a Small Luxury Hotels affiliation planned for Year 2. The adjacent parcel at 21441 Dogwood Cove — three acres, a four-bedroom residence and 24 boat slips — is under contract and funded in this capitalization; see page 5.

KEYS 50 → 58 57 hotel keys plus the Dogwood Cove residence	SITE 8.10 ac Expanding to about 11 acres with Dogwood Cove
POSITIONING Upper Upscale Select-service resort	LOCATION Tilghman, MD Talbot County · Tilghman Island



What the asset comprises.



LOCATION

SITE

8.10 acres · three parcels

WATER FRONTAGE

1,100 feet on the Choptank River

ZONING

Village Mixed · hotel permitted and legally conforming

DRIVE-TO DEMAND

Two hours from Washington and Baltimore

LUXURY BENCHMARK

12 miles from the Inn at Perry Cabin

PARKING

69 surface spaces



ACCOMMODATIONS

IN SERVICE TODAY

50 waterfront rooms

OUT OF SERVICE

4 rooms, restored under the capital plan

ADDED

3 keys from the rebuilt three-bedroom house

ON COMPLETION

57 keys · 58 with Dogwood Cove

MARINA

23 slips today · 24 with the Dogwood Cove acquisition · 47 on completion

COMMERCIAL SPACE

Converting to a wellness studio



FOOD, BEVERAGE AND EVENTS

RESTAURANT

Tickler's Crab Shack · 128 seats, 2,000 SF, seasonal

BALLROOM

2,000 SF

BREAKOUT

Multiple breakout and restaurant spaces

OUTDOOR

Waterfront tent space

BOAT BAR

Converting to add usable event space

TOTAL EVENT SPACE

3,722 SF today · 5,252 SF on completion



AMENITIES

POOL

Heated saltwater

WELLNESS

Panoramic sauna and cold plunge

WATER

Watersports from the property

GROUNDS

Bonfire pits, lawn games, rope swing, hammocks

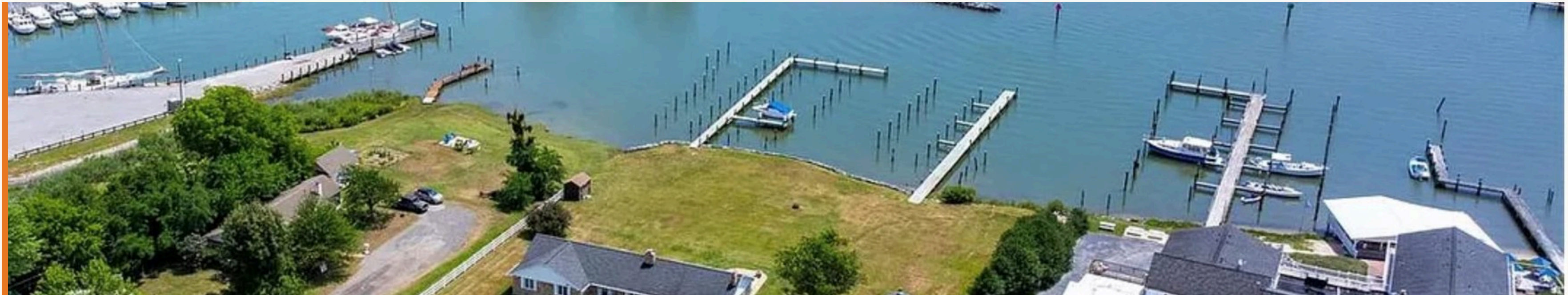
SEATING

Adirondack chairs on the lawn

AMENITY FEE

\$40 per room night · **95.9% capture in 2025**

Adjacent acquisition — 21441 Dogwood Cove.



TRANSACTION		WHAT IT ADDS		WHY IT MATTERS	
Purchase price	\$1,100,000	Boat slips	24	The parcel was part of the hotel until it was separated and sold to a third party during a bankruptcy roughly ten years ago . Acquiring it reassembles the original assemblage and takes the last private parcel between the hotel and its waterfront off the market.	
Status	Under contract	Land	±3 acres		
Closing period	45 days	Residence	4 bedrooms		
Interest conveyed	Fee simple	Keys	1 · whole-home suite	It is funded by a \$770,000 acquisition loan at 70% of purchase price , with the balance and the renovation carried inside the capitalization. Debt service of \$72,955 a year is included in every coverage figure in this package.	
Deposit	\$15,000	Site on completion	±11.1 acres		
Renovation to bring online	\$300,000	Marina slips on completion	47		
Total acquisition cost		\$1,400,000			
Acquired by 21551 Tilghman Investors LLC , the entity that owns the hotel, so the parcel comes into the existing collateral rather than a separate venture. The 45-day closing period runs in parallel with the senior loan closing.					
The parcel sits at 21441 Dogwood Cove, Tilghman, Talbot County, Maryland.					
It is underwritten conservatively — a \$1,500 nightly rate at 35% occupancy , or \$191,625 of annual revenue from stabilization, against a \$1,400,000 all-in cost.					
ACQUISITION LOAN				LOAN TO PURCHASE PRICE	
\$770,000				70.0%	

Ownership and operating structure.

The property is owned by **21551 Tilghman Investors LLC**, led by principal **John Flannigan**, and operated under the **Wylder Hotels** brand through affiliate Wylder Eastern Shore Management, LLC — controlling day-to-day operations and the renovation, with a Small Luxury Hotels affiliation planned for Year 2.

OWNERSHIP 21551 Tilghman Investors LLC	PRINCIPAL John Flannigan
OPERATOR / BRAND Wylder Hotels	MANAGER Wylder Eastern Shore Mgmt.
STRUCTURE AND ALIGNMENT	
01 Owner-operated, no third-party manager — Day-to-day operations are run by an affiliate of ownership. There is no third-party management agreement to terminate or subordinate, no comfort letter to negotiate and no split incentive between owner and operator.	
02 Continuous ownership since 2017 — The sponsor has owned and operated the hotel under the Wylder brand through the pandemic cycle and the current repositioning, investing a further \$642,693 of capital between 2021 and 2025.	
03 Single-asset ownership entity — 21551 Tilghman Investors LLC holds this property and, on closing, the adjacent Dogwood Cove parcel — and no other operating assets — keeping the collateral and its cash flow ring-fenced.	
04 Two-property brand platform — Revenue management, distribution, design and procurement are shared across Wylder Hotels in Maryland and New York, giving a 57-key asset reach it could not support standing alone.	

Operating statements are produced monthly at the property level and are the basis for the historical figures in this package. Financial reporting, revenue management and the renovation are handled in-house.



Operator background and brand portfolio.

wylder HOTELS

A boutique hotel brand that acquires, renovates and operates resort properties in drive-to leisure markets. Two resorts on the East Coast.

Wylder Tilghman Island

Chesapeake Bay, MD · this asset

50→57 keys
Est. 2017

Wylder Windham

Catskills, NY · ~\$27M invested

110 keys
Est. 2022

THE PROOF CASE

Wylder Windham opened in 2022 after roughly \$27,000,000 of investment and was named the number one resort in New York State the following year. It is a **Small Luxury Hotels member, the first in the Catskills**, and carries the American Express Fine Hotels & Resorts designation. The affiliation planned at Tilghman Island follows the same path, under the same ownership and the same management company.

RECOGNITION

#8 in the U.S. — Travel + Leisure World’s Best, 2023, and a MICHELIN Guide selection (Wylder Windham) · Top 11 in NY & the Mid-Atlantic — Condé Nast Traveler, 2018 (Tilghman Island).



John Flannigan

FOUNDER & CEO · WYLDER HOTELS (JEF MANAGEMENT LLC)

3
DECADES

WYLDER · '16–
NOW

Founder & CEO — acquired, renovated and opened the Wylder portfolio; leads capital, acquisitions, design and operations.

PROPER · '14–'16

Chief Operating Officer, Proper Hospitality — opened Avalon Beverly Hills and Avalon Palm Springs.

JRK · '09–'14

President, JRK Hotels — seven-hotel platform; acquired the 472-key Sheraton Nashville Downtown (\$47.5M), Oceana Santa Monica & Santa Barbara, Villa Florence SF.

ACE NY · '08–'09

Opening General Manager — opened the Ace Hotel New York.

EARLIER

Opening GM of The Roger and Hotel Giraffe (NYC); progressive roles at Wyndham Hotels.

B.S., Hotel, Restaurant & Institutional Management — The Pennsylvania State University (1996). Entrepreneur of the Year, Penn State Hotel & Restaurant Society, 2023.

Business plan and capital improvement program.

CAPITAL IMPROVEMENT PROGRAM

\$3.3M · \$56,948 / KEY · SEP 2026 – APR 2027

01

Guest room renovation

\$1.43M

Full renovation of all 57 guest rooms at \$25,000 per key. **Four out-of-service keys are returned and three added in the back house**, taking the hotel from 50 to 57 — 12.3% more sellable inventory that has never produced revenue.

02

Additional revenue sources

\$0.85M

The **marina — 23 slips today, 47 with the Dogwood Cove acquisition**, rebuilt for \$250,000 — carries almost no operating overhead and contributes roughly **\$341,000 a year** of departmental profit at stabilization, on revenue the property has never captured. A reconfigured boat bar and rebuilt three-bedroom house add further sources, and the adjacent Dogwood Cove residence adds a whole-home suite.

03

Brand affiliation

SLH · Yr 2

Operation under the Wylder Hotels brand, with a planned Small Luxury Hotels affiliation in Year 2 distributed through Hilton channels.

Exterior and interior improvements, contingency and professional fees complete the \$3,003,000 hotel program, equal to \$52,684 per key across the 57 hotel keys. With \$300,000 for the Dogwood Cove residence the total capital program is \$3,303,000, or \$56,948 per key on 58 keys. **The program is funded from the capitalization** set out on page 18, together with \$300,000 for the Dogwood Cove residence.

REVPAR INDEX TO COMP SET

41.4% → 79% at stabilization

\$87 today vs. \$210 comp set (STR, Dec 2025)

WHAT DRIVES THE PLAN

Rate recovery on 57 renovated rooms	\$265 → \$415
Seven keys returned to inventory	+12.3% sellable
Marina to 47 slips	\$341,332
Dogwood Cove whole-home suite	\$191,625
Small Luxury Hotels affiliation	Year 2

The plan targets a RevPAR index of approximately 79% of this competitive set by stabilization in 2028, **assuming no growth in the underlying market.**

NOI · 2026→2030

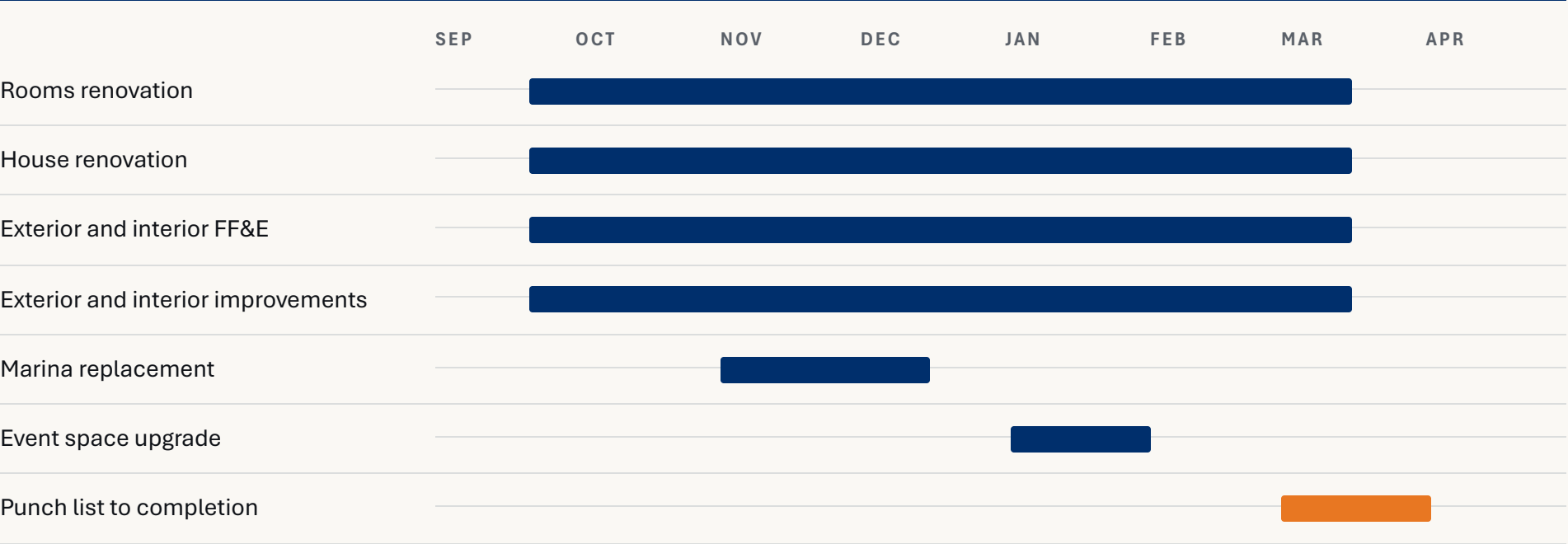
2.7x

REVPAR · 2025→2030

\$87→\$196

The renovation is designed, priced and scheduled.

RENOVATION SCHEDULE · SEPTEMBER 2026 TO APRIL 2027



START AND COMPLETION DATES

Rooms renovation	Sep 21, 2026 → Mar 15, 2027
House renovation	Sep 21, 2026 → Mar 15, 2027
Exterior and interior FF&E	Sep 21, 2026 → Mar 15, 2027
Exterior and interior improvements	Sep 21, 2026 → Mar 15, 2027
Marina replacement	Nov 1, 2026 → Dec 15, 2026
Event space upgrade	Jan 2, 2027 → Jan 31, 2027
Punch list to completion	Mar 1, 2027 → Apr 1, 2027

Work begins **September 21, 2026** and completes **April 1, 2027**. The program is scheduled across the low season and completes before the 2027 summer peak — the four months to September carry 72% market occupancy against 40% from November to March.



THE MODEL ROOM IS BUILT

The guest-room specification is complete and can be inspected on site. Finishes, casegoods, lighting, soft goods and bath are installed. The **\$25,000 per key** in the budget is priced against a room that exists rather than a drawing, which takes design and specification risk out of the remaining keys and gives the schedule a known unit cost to roll out.

Small Luxury Hotels affiliation and distribution.

WHY THE AFFILIATION MATTERS

HILTON DISTRIBUTION

SLH member hotels are bookable directly through **Hilton.com, the Hilton app and Hilton Honors**. The affiliation places the property inside Hilton’s reservation and loyalty system rather than leaving it dependent on direct booking and third-party channels, which is the mechanism behind the projected occupancy and rate gain.

AN ESTABLISHED RELATIONSHIP

The sponsor already operates within SLH. **Wylder Windham, the sister hotel in the Catskills, is an SLH member** and was the first in that market. The application here is an extension of a working relationship rather than a first approach.

AMERICAN EXPRESS FINE HOTELS & RESORTS

Wylder Windham carries the **American Express Fine Hotels & Resorts designation**, reached through the SLH platform. The same designation is the plan at Tilghman Island, adding a high-rate corporate and affluent leisure channel on completion.

Affiliation is targeted on completion of the renovation and remains subject to application, inspection, board approval and an executed brand affiliate agreement.

MEMBERSHIP ECONOMICS

Initial term	4 years
Implementation fee · one time	\$4,500
Annual fee · year 1	\$13,220
Annual fee · year 2	\$20,902
Annual fee · year 3	\$33,050
Annual fee · year 4	\$33,050
Four-year total	\$100,222
Full annual fee vs stabilized revenue	0.49%

COMMISSION BY CHANNEL

SLH.com	10%
Voice reservations	10%
GDS	\$18 / res
Amex Fine Hotels & Resorts	2% of room rev

Fee schedule is the 2025/2026 rate quoted on 50 rooms; the annual fee steps to roughly \$35,136 at 57 rooms. Also payable: 15 barter room nights a year, a £153 monthly database fee, a \$2,249 inspection fee every 12 to 18 months, and \$665 directory and conference contributions.

Estimated values and underwritten projections.

ESTIMATED AS-IS VALUE	ESTIMATED UPON COMPLETION	ESTIMATED UPON STABILIZATION
\$21,400,000 \$368,966 per key	\$26,000,000 \$448,276 per key	\$29,500,000 \$508,621 per key

Values are stated for underwriting purposes and are subject to completion of the renovation and stabilization of operations. Per-key figures on 58 keys — 57 hotel keys plus the Dogwood Cove residence.

METRIC	2026	2027	2028	2029	2030
Occupancy	33%	38%	40%	42%	43%
Average daily rate	\$288	\$395	\$415	\$435	\$455
RevPAR	\$96	\$150	\$166	\$183	\$196
Total revenue	\$4.38M	\$6.38M	\$7.08M	\$7.60M	\$8.04M
Net operating income	\$1.13M	\$2.32M	\$2.67M	\$2.86M	\$3.06M
NOI margin	25.8%	36.3%	37.7%	37.6%	38.1%

STABILIZED NOI • 2028

\$2,670,611

STABILIZED NOI MARGIN

37.7%

REVPAR • 2028

\$166

2026 is the renovation year, with the hotel open on a limited basis; 2027 is the ramp; 2028 through 2030 reflect stabilized operation on 58 keys. Projections per the financial model. Monthly 2026 detail is available in the model.

Pro forma cash flow and underwriting assumptions.

PRO FORMA CASH FLOW	2026	2027	2028	2029	2030
Available room nights	18,250	20,805	20,862	20,805	20,805
Occupied room nights	6,094	7,906	8,345	8,738	8,946
Occupancy	33.0%	38.0%	40.0%	42.0%	43.0%
Average daily rate	\$288	\$395	\$415	\$435	\$455
RevPAR	\$96.00	\$150.00	\$166.00	\$183.00	\$196.00
Rooms revenue	\$1,755,504	\$3,122,830	\$3,463,092	\$3,801,074	\$4,070,498
Other revenue	\$2,620,434	\$3,259,037	\$3,619,032	\$3,795,709	\$3,968,084
Total revenue	\$4,375,938	\$6,381,867	\$7,082,124	\$7,596,783	\$8,038,582
Operating expenses	(\$3,246,624)	(\$4,066,848)	(\$4,411,513)	(\$4,738,313)	(\$4,977,129)
Net operating income	\$1,129,314	\$2,315,019	\$2,670,611	\$2,858,470	\$3,061,453
NOI margin	25.8%	36.3%	37.7%	37.6%	38.1%

Other revenue comprises food and beverage, resort fee, marina slips, the Dogwood Cove house and miscellaneous income. Operating expenses are total departmental, undistributed and fixed costs, including the replacement reserve. Net operating income is stated before the asset management fee. Per the financial model.

UNDERWRITING ASSUMPTIONS	
Keys at stabilization	58 (50 today)
Occupancy · 2026 to 2030	33% → 43%
Average daily rate	\$288 → \$455
RevPAR	\$96 → \$196
Underlying market growth	None assumed
Hotel capital program	\$3,003,000
Dogwood Cove renovation	\$300,000
Capital program per key	\$56,948
Capital program funding	From the capitalization
Operating expense ratio	74.2% → 61.9%
Replacement reserve	0% → 3.8% of revenue
Dogwood Cove house	\$1,500 ADR · 35% occupancy
Brand	Wylder Hotels
Affiliation	SLH · Year 2

The plan assumes no growth in competitive-set rate or occupancy; the entire RevPAR gain is attributed to the renovation, the added keys, the expanded marina and brand affiliation. Competitive-set performance is held flat at its 2025 level throughout.

Stabilized cash flow carried forward, 2030 through 2041.

Dollars in thousands. **2030 is the last year of the pro forma on the preceding pages**; every year after it continues the same line on the same basis — occupancy held at 43.0%, average rate growing 3.0% a year, no assumed growth in the underlying market and the operating margin held at 38.1%. Net operating income is already stated after a 4.0% management fee and a 3.8% replacement reserve; the memo line steps that reserve to 4.0% and coverage is shown on both. Debt service is the permanent takeout basis, since the senior loan carries a three-year term. Columns may not foot due to rounding.

CALENDAR YEAR	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041
OPERATING STATISTICS												
Occupancy	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%
Average daily rate	\$455	\$469	\$483	\$497	\$512	\$527	\$543	\$560	\$576	\$594	\$611	\$630
RevPAR	\$196	\$202	\$208	\$214	\$220	\$227	\$234	\$241	\$248	\$255	\$263	\$271
REVENUE												
Rooms	4,070	4,193	4,318	4,448	4,581	4,719	4,860	5,006	5,156	5,311	5,470	5,635
Other operated departments	3,968	4,087	4,210	4,336	4,466	4,600	4,738	4,880	5,027	5,177	5,333	5,493
Total revenue	8,039	8,280	8,528	8,784	9,047	9,319	9,598	9,886	10,183	10,489	10,803	11,127
OPERATING RESULT												
Operating expenses	(4,977)	(5,126)	(5,280)	(5,439)	(5,602)	(5,770)	(5,943)	(6,121)	(6,305)	(6,494)	(6,689)	(6,890)
Net operating income	3,061	3,153	3,248	3,345	3,446	3,549	3,656	3,765	3,878	3,995	4,114	4,238
NOI margin	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%
Memo · reserve stepped to 4.0%	(16)	(16)	(17)	(17)	(18)	(18)	(19)	(19)	(20)	(20)	(21)	(22)
Net cash flow at a 4.0% reserve	3,046	3,137	3,231	3,328	3,428	3,531	3,637	3,746	3,858	3,974	4,093	4,216
DEBT SERVICE · PERMANENT TAKEOUT BASIS												
Debt service	(1,047)	(1,047)	(1,047)	(1,047)	(1,047)	(1,047)	(1,047)	(1,047)	(1,047)	(1,047)	(1,047)	(1,047)
Coverage on net operating income	2.92x	3.01x	3.10x	3.20x	3.29x	3.39x	3.49x	3.60x	3.70x	3.82x	3.93x	4.05x
Coverage at a 4.0% reserve	2.91x	3.00x	3.09x	3.18x	3.27x	3.37x	3.47x	3.58x	3.69x	3.80x	3.91x	4.03x
Debt yield	23.8%	24.6%	25.3%	26.1%	26.8%	27.6%	28.5%	29.3%	30.2%	31.1%	32.0%	33.0%

2.92x

Minimum coverage over the period, in 2030

2.91x

Minimum coverage with the reserve stepped to 4.0%

\$28.9M

Aggregate cash flow after debt service, 2031 to 2041

1.38x

Net operating income in 2041 against 2030

Departmental revenue and margins against industry benchmarks.

REVENUE BY DEPARTMENT AT STABILIZATION

DEPARTMENT	\$000S	% OF TOTAL	RESORT SEGMENT
Rooms	3 , 463	48 . 9%	57 . 9%
Food and beverage	2 , 519	35 . 6%	29 . 3%
Resort fee, marina and miscellaneous	908	12 . 8%	12 . 8%
Dogwood Cove house · 1 key	192	2 . 7%	–
Total revenue	7 , 082	100 . 0%	100 . 0%

FOOD AND BEVERAGE AGAINST OUTLET COMPARABLES

METRIC	SUBJECT	COMP AVG	COMP RANGE
Restaurant revenue per seat	\$14 , 775	\$18 , 540	\$11 . 8K–\$33 . 8K
Event space revenue per SF	\$313	\$271	\$201–\$421
Event revenue per occupied room	\$184	\$95	\$36–\$206

REVENUE NOT PRESENT IN ANY HISTORICAL PERIOD

SOURCE	REVENUE	DEPARTMENTAL PROFIT
Expanded marina slips	\$359 , 297	\$341 , 332
Seven added keys · 50 → 57	\$425 , 292	\$318 , 969
Dogwood Cove house · 1 key	\$191 , 625	\$191 , 625
Combined at stabilization	\$976 , 214	\$851 , 926

The **marina is rebuilt and expanded for \$250,000** inside the capital plan and carries almost no operating overhead; the model loads it with a 5% direct cost, leaving **\$341,332** of departmental profit at stabilization. Four out-of-service keys returned and three added in the back house lift sellable inventory 12.3%. The **Dogwood Cove house** is underwritten at a \$1,500 nightly rate and 35% occupancy as a whole-home suite. Food and beverage is a larger share of revenue than the resort segment because of the crab shack, bar and event space against only 57 keys, but restaurant revenue per seat is 20% below the comparable average and event revenue per occupied room is close to the \$180 the property itself achieved in 2025.

MARGINS AGAINST INDUSTRY BENCHMARKS

RATIO TO REVENUE	SUBJECT	RESORT	INDEPENDENT
Departmental profit	65 . 7%	59 . 8%	58 . 1%
Undistributed expenses	23 . 7%	22 . 6%	25 . 1%
Gross operating profit	42 . 0%	37 . 2%	33 . 0%
Administrative and general	6 . 2%	7 . 2%	9 . 1%
Sales and marketing	4 . 3%	6 . 2%	6 . 1%
Utilities	2 . 8%	2 . 9%	3 . 1%
Property operation and maintenance	2 . 4%	4 . 1%	4 . 8%
Management fee	3 . 8%	3 . 7%	2 . 7%
Replacement reserve	2 . 8%	2 . 1%	2 . 1%

DEPARTMENTAL COST RATIOS

RATIO TO DEPARTMENTAL REVENUE	SUBJECT	RESORT	INDEPENDENT
Rooms expense	25 . 0%	25 . 1%	31 . 7%
Food and beverage expense	60 . 0%	72 . 0%	77 . 4%

Figures are the 2028 stabilized year of the pro forma; benchmarks are the resort and independent segments of the 2024 United States hotel profitability review. Gross operating profit of 42.0% is 4.8 points above the resort segment, and the replacement reserve at 2.8% is above the 2.1% segment norm and steps to 3.8% by 2029. Three lines run below segment and are flagged rather than smoothed: administrative and general at 6.2%, sales and marketing at 4.3% and property operation and maintenance at 2.4%. Food and beverage cost of 60.0% against a 72.0% segment figure reflects a limited-menu seasonal outlet and event catering rather than a three-meal restaurant. Credit card commissions of 2.9% are carried in undistributed expenses and have no separate segment comparator.

Historical operations and competitive benchmarking.

ACTUAL OPERATIONS

METRIC	2023	2024	2025
Occupancy	27%	32%	33%
Average daily rate	\$312	\$291	\$265
RevPAR	\$83	\$92	\$87
Total revenue	\$3.48M	\$3.81M	\$3.79M
Net operating income	\$0.49M	\$0.92M	\$0.66M
NOI margin	14.0%	24.0%	17.6%

Per operating statements. 2025 is preliminary. 2026 is a transition year and is not presented.

COMPETITIVE BENCHMARKING · YTD DEC 2025

METRIC	OCC	ADR	REVPAR
Wylder Tilghman Island	32.9%	\$264.79	\$87.00
Competitive set	58.7%	\$357.10	\$209.75
Submarket	53.1%	\$142.06	\$75.38
Maryland market	53.3%	\$163.10	\$86.98
Index to comp set	55.9	74.1	41.5

Source: STR STAR report, December 2025 (year to date). Competitive set comprises four properties and 364 rooms. The 41.5 RevPAR index is the gap the business plan addresses.

The competitive market, supply and demand.

COMPETITIVE MARKET · 2025 PERFORMANCE

PROPERTY · LOCATION	KEYS	OCCUPANCY	ADR	REVPAR
Inn at Perry Cabin · St Michaels	78	55–60%	\$745–775	\$435–465
Chesapeake Bay Beach Club · Stevensville	77	70–75%	\$260–270	\$175–205
Tidewater Inn · Easton	89	40–45%	\$235–245	\$90–120
Hilton Garden Inn · Kent Island Marina	91	65–70%	\$210–220	\$135–165
Composite property	19	55–60%	\$340–360	\$185–215
Market total and average	404	56.9%	\$349.79	\$199.18
Wylder Tilghman Island	50	32.9%	\$264.79	\$87.00

PENETRATION AGAINST THE MARKET

INDEX	2024	2025	TARGET
Occupancy index	59%	58%	–
Rate index	82%	76%	–
RevPAR index	48%	44%	83%

The index fell between 2024 and 2025 because the property was discounting rate while carrying keys out of service — average rate dropped from \$291 to \$265 against a market holding \$350. Rate, not occupancy, is the variance. Recovering it is what the capital program and the affiliation are for.

The market set totals 404 rooms including the subject and a composite of smaller properties. The subject holds 76% of market rate but only 58% of market occupancy, producing a RevPAR index of 44%. The business plan targets 83% of market RevPAR at stabilization — a level still 17% below the market average and below both luxury properties in the set. The STR benchmarking on the preceding page is drawn from a differently constituted set of four properties and 364 rooms; the two are not interchangeable.

MARKET SUPPLY AND DEMAND

YEAR	SUPPLY	DEMAND	OCC	ADR	REVPAR
2019	396	76,475	52.9%	\$266	\$141
2021	396	82,180	56.8%	\$316	\$179
2022	407	87,883	59.1%	\$317	\$187
2023	404	77,581	52.6%	\$353	\$186
2024	404	79,802	54.1%	\$354	\$192
2025	404	84,017	56.9%	\$350	\$199
TTM March 2026	404	84,809	57.5%	\$350	\$201
CAGR 2019–2025	0.3%	1.6%	1.2%	4.7%	6.0%

WHAT THE MARKET TREND SUPPORTS

Market supply has been unchanged at approximately 404 rooms since 2022, while demand has grown in each of the last two years and reached a ten-year high of 84,017 room nights in 2025. Trailing twelve-month demand through March 2026 is running 5.6% ahead of the prior period. Market RevPAR has compounded at 6.0% a year since 2019 and stands at a record \$199. The projections adopt none of this growth: rate and occupancy for the competitive market are held flat at 2025 levels throughout, so the entire RevPAR gain in the plan is attributed to the renovation, the seven added keys, the expanded marina, the adjacent parcel and the brand affiliation.

MARKET SEASONALITY · MONTHLY OCCUPANCY 2025

PERIOD	OCC	ADR	REVPAR
Peak · June to September	72.0%	\$396	\$285
Shoulder · April, May, October	64.6%	\$355	\$231
Trough · November to March	40.0%	\$267	\$109

Demand is concentrated: four peak months run at 72% occupancy against 40% across the five winter months. Projections are annual averages; interim coverage follows the same pattern. Figures are monthly averages.

Demand figures are annual room nights for the market set. Supply is average rooms available per day.

Drive-to demand, visitation and new supply.

DRIVE-TO LEISURE DEMAND

METROPOLITAN AREA	MILES	POPULATION
Washington, DC	40	6,436,489
Baltimore, MD	43	2,859,024
Richmond, VA	100	1,370,165
Philadelphia, PA	108	6,330,422
New York, NY	186	19,940,274
Within 3.5 hours	–	36,936,374

2025 VISITORS

666,400

VISITOR SPENDING

\$317M

Talbot County visitation supported 1,944 jobs and \$132M of local, state and federal tax receipts in 2025. Source: Talbot County Economic Development and Tourism.

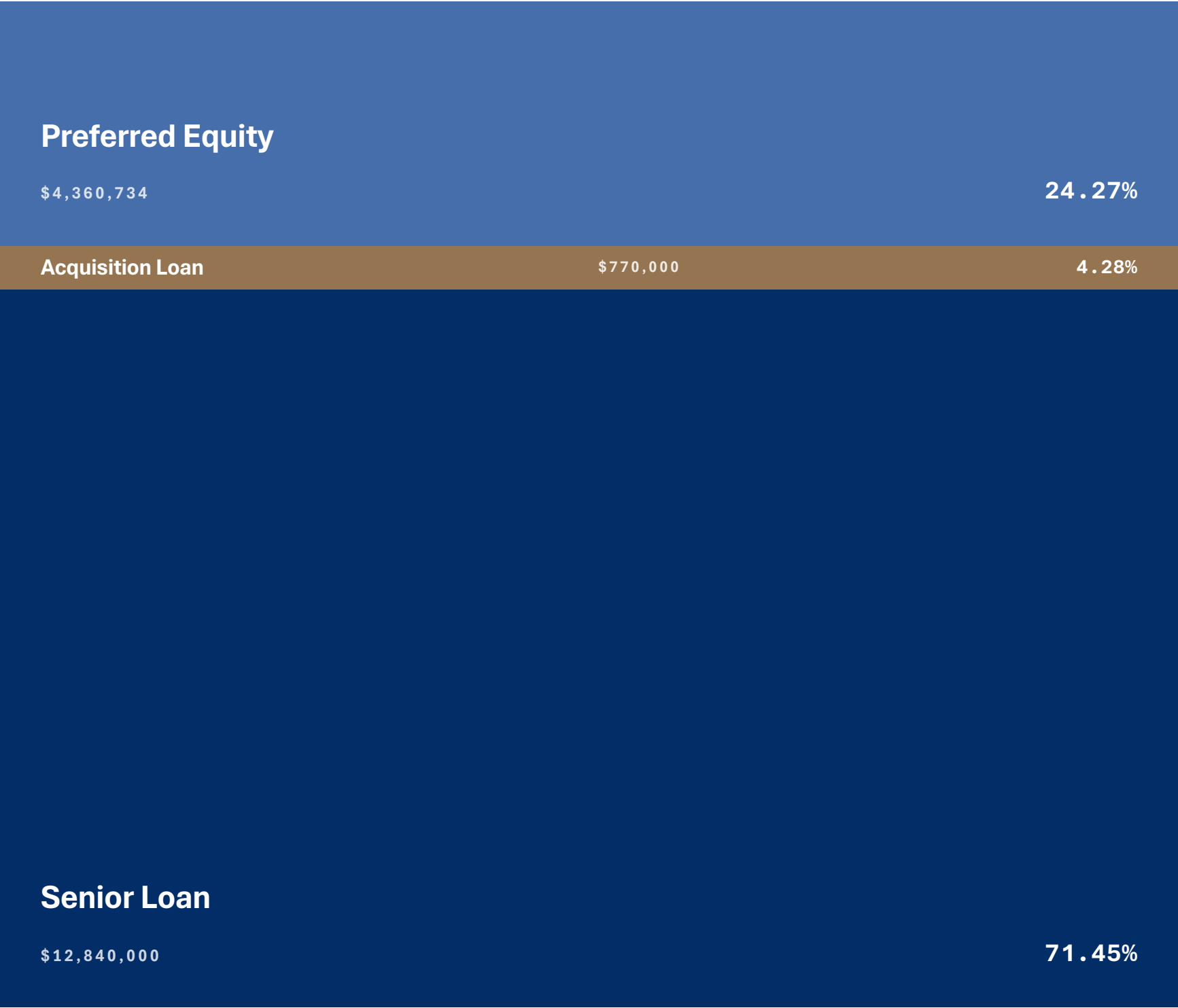
NEW SUPPLY WITHIN THE SUBMARKET

PROPERTY · STATUS	KEYS	MILES
Wilson’s Cove · under construction	32	50.7
Microtel Inn & Suites, Easton · planning	81	25.3
Home2 Suites, Salisbury · opened Feb 2026	81	72.6
Home2 Suites, Middletown · proposed	89	76.5

No new supply is under construction within 25 miles. The nearest proposed project is an **81-key economy product 25 miles away, not before Q3 2028**, and none of the pipeline competes with upper-upscale waterfront resort product.

Competitive set supply has been unchanged at 364 rooms across four properties since 2023. Distances measured from the subject.

A three-tranche capitalization of \$17,970,734.



TOTAL CAPITALIZATION

\$17,970,734

CAPITAL MEASURES

Senior loan	\$12,840,000
Acquisition loan	\$770,000
Preferred equity	\$4,360,734
Common equity at close	\$0
Total capitalization	\$17,970,734
Senior loan to as-is value	60.0%
Debt and preferred to as-is value	84.0%
Debt and preferred to stabilized value	60.9%
Senior loan to total cost	71.45%
Senior loan per key · 58 keys	\$221,379

TRANCHE TERMS

Senior loan	8.79% floating · 3 yrs · interest-only
Acquisition loan	8.79% · 30-yr amortization
Preferred equity	17.0% total · 10% current / 7% accrued

The senior loan is a single first mortgage. The acquisition loan is secured by 21441 Dogwood Cove at 70% of purchase price. Preferred equity sits behind both and ahead of the sponsor’s residual equity, which is \$3,429,266 at the as-is value. Per-key figures are on 58 keys, the 57-key hotel on completion plus the Dogwood Cove residence.

Preferred equity terms and position.

INSTRUMENT		POSITION IN THE CAPITAL STACK		EQUITY BENEATH THE PREFERRED	
Amount	\$4 , 360 , 734	Senior loan	\$12 , 840 , 000	At as-is · \$21,400,000	\$3 , 429 , 266
Share of total capitalization	24 . 3%	Acquisition loan	\$770 , 000	At completion · \$26,000,000	\$8 , 029 , 266
Preferred return · total	17 . 0%	Debt ahead of the preferred	\$13 , 610 , 000	At stabilization · \$29,500,000	\$11 , 529 , 266
Current pay	10 . 0%	Preferred equity	\$4 , 360 , 734	The sponsor contributes no new cash at close but retains the residual equity above the preferred. At the as-is value that cushion is \$3,429,266 ; on the business plan it reaches \$11,529,266 by stabilization.	
Accrued / PIK	7 . 0%	Common equity at close	\$0		
Hold period	3 years	Total capitalization	\$17 , 970 , 734		
Current-pay reserve at close	\$436 , 073	Debt and preferred together are 84.0% of the \$21,400,000 as-is value and 60.9% of the \$29,500,000 stabilized value.			
Sized cash-neutral, so the sponsor contributes no new common equity at close . Twelve months of the current pay is reserved from proceeds.					

PREFERRED EQUITY ROLL-FORWARD	2026	2027	2028
Beginning balance	\$4 , 360 , 734	\$4 , 665 , 985	\$4 , 992 , 604
Accrued return · 7.0% PIK	\$305 , 251	\$326 , 619	\$349 , 482
Ending balance	\$4 , 665 , 985	\$4 , 992 , 604	\$5 , 342 , 086
Current pay · 10.0%, cash	\$436 , 073	\$466 , 599	\$499 , 260
Debt service and current pay	\$1 , 637 , 664	\$1 , 668 , 190	\$1 , 700 , 851
Net operating income	\$1 , 129 , 314	\$2 , 315 , 019	\$2 , 670 , 611
Coverage of all obligations	0 . 69x	1 . 39x	1 . 57x

The accrued portion compounds to an ending balance of **\$5,342,086** at the end of year three, \$981,352 above the original investment. **2026 is a renovation year and does not cover its obligations at 0.69x**; the capitalization funds a 12-month interest and carry reserve of \$1,201,591 and a 12-month preferred current-pay reserve of \$436,073 to carry that period. Coverage clears 1.00x in 2027 and reaches 1.57x in 2028.

Summary of senior loan terms.

ALL-IN RATE

8.79%

Floating for the term

Index · 30-day SOFR 3.79%

Spread 5.00%

Rate type Floating

TERM & AMORTIZATION

3 yrs

Interest-only for the full term

Annual debt service \$1,128,636

Annual debt constant 8.790%

Amortization None

SENIOR LTV AT CLOSE

60.0%

Of as-is value

Senior loan amount \$12,840,000

Senior loan per key \$221,379

Keys 58

ACQUISITION LOAN · 21441 DOGWOOD COVE

\$770,000 · 70% LTV

8.79% · 30-year amortization · \$72,955 annual payments

SENIOR ORIGATION

2.00%

BROKER FEE · MMCC

1.00%

PROCESSING & THIRD-PARTY

\$10,100

Projected debt service coverage, 2026 through 2030.

PROJECTED COVERAGE	2026	2027	2028	2029	2030
Net operating income	\$1,129,314	\$2,315,019	\$2,670,611	\$2,858,470	\$3,061,453
Senior debt service	\$1,128,636	\$1,128,636	\$1,128,636	\$1,128,636	\$1,128,636
Acquisition loan P&I	\$72,955	\$72,955	\$72,955	\$72,955	\$72,955
Total debt service	\$1,201,591	\$1,201,591	\$1,201,591	\$1,201,591	\$1,201,591
DSCR · senior	1.00x	2.05x	2.37x	2.53x	2.71x
DSCR · all debt	0.94x	1.93x	2.22x	2.38x	2.55x
Debt yield · senior	8.80%	18.03%	20.80%	22.26%	23.84%

STABILIZED DSCR	STABILIZED DEBT YIELD
2.37x	20.8%
2028 · senior	2028 · senior

RENOVATION-YEAR COVERAGE

2026 is the renovation year, with the hotel open on a limited basis. Net operating income covers senior interest at 1.00x and all debt at 0.94x. A **\$1,201,591 interest and carry reserve** — twelve full months of combined debt service — is funded at close, together with a **\$436,073 preferred current-pay reserve**. Coverage clears 1.90x on all debt from 2027 forward.

PERMANENT TAKEOUT TEST

Refinanced at 6.50% over a 30-year amortization, the \$12,840,000 senior loan would carry **\$973,890** of annual debt service — covered **2.74x** by stabilized net operating income and 3.14x by 2030.

Senior debt service is interest-only at the 8.79% all-in rate. Debt yield is net operating income over the senior loan. Figures are projections prepared by management; actual results will vary.

The capitalization measured against cost basis and value.

LOAN COVERAGE MEASURES

Senior loan	\$12,840,000
Acquisition loan	\$770,000
Preferred equity	\$4,360,734
Estimated as-is value	\$21,400,000
Senior loan to as-is value	60.0%
Debt and preferred to as-is value	84.0%
Debt and preferred to stabilized value	60.9%
Total project cost basis	\$17,970,734
Senior loan to total project cost	71.4%
Cost basis in excess of senior loan	\$5,130,734

Of the \$17,970,734 total capitalization, **\$11,814,782 retires the existing loan and buys the adjacent parcel**, \$3,303,000 funds capital improvements, \$2,137,664 funds reserves and working capital, and \$715,288 covers financing costs. No common equity is required at close and no proceeds are distributed to the sponsor.

COST BASIS

Total project cost basis of **\$17,970,734 (\$309,840 per key on 58 keys)** against a \$12,840,000 senior loan and \$13,610,000 of total debt. Basis above the senior loan is \$5,130,734, or 28.5% of cost.

INTEREST-ONLY STRUCTURE

Three-year term, **interest-only for the full term** at an 8.79% floating all-in rate. Combined annual debt service is \$1,201,591 and is **reserved for twelve months at close**. A permanent takeout at 6.50% over a 30-year amortization would carry \$973,890, covered 2.74x at stabilization.

PREFERRED EQUITY

The \$4,360,734 preferred tranche is **subordinate to both loans**, pays 10% current and accrues 7%, and is sized cash-neutral so the sponsor contributes no new common equity. Twelve months of current pay is reserved from proceeds.

SPONSOR SUPPORT

Completion and cost-overrun guaranty, full carry guaranty through renovation and stabilization, recourse carve-outs and environmental indemnity, and a \$10,000,000 minimum net-worth covenant on the guarantor.

Total project cost basis and the renovation plan.

ACQUISITION AND PAYOFF	
Existing loan payoff	\$10,714,782
Land and house acquisition · 21441 Dogwood Cove	\$1,100,000
Total acquisition and payoff	\$11,814,782
CAPITAL IMPROVEMENTS	
Hotel capital improvement plan	\$3,003,000
Dogwood Cove house renovation	\$300,000
Total capital improvements	\$3,303,000
RESERVES AND WORKING CAPITAL	
Interest and carry reserve · 12 months	\$1,201,591
Working capital	\$500,000
Preferred current-pay reserve · 12 months	\$436,073
Total reserves and working capital	\$2,137,664
FINANCING COSTS	
Senior origination fee · 2.00%	\$256,800
Closing, legal and other	\$155,658
Broker fee · MMCC senior debt · 1.00%	\$128,400
Preferred origination fee · 2.00%	\$87,215
MMCC preferred equity placement fee · 2.00%	\$87,215
Total financing costs	\$715,288
Total project cost basis	\$17,970,734

CAPITAL IMPROVEMENT PLAN · HOTEL			
Room renovation			\$1,425,000
Marina replacement and expansion			\$250,000
Replace three-bedroom house			\$500,000
Interior public space and FF&E			\$50,000
Convert boat bar			\$50,000
Exterior and interior improvements			\$300,000
Contingency			\$258,000
Professional fees			\$170,000
Total hotel capital plan			\$3,003,000
ADJACENT PARCEL · 21441 DOGWOOD COVE			
Four-bedroom residence renovation · systems, interiors and FF&E			\$300,000
Total capital improvements			\$3,303,000
COST BASIS / KEY	CAPITAL PLAN / KEY	SENIOR LOAN / KEY	BASIS ABOVE LOAN
\$309,840	\$56,948	\$221,379	\$5,130,734
58 keys	Hotel and house	60.0% of as-is	28.5% of basis
START AND COMPLETION DATES			
Rooms, house, FF&E and exterior work		Sep 21, 2026 → Mar 15, 2027	
Marina replacement and expansion		Nov 1, 2026 → Dec 15, 2026	
Event space upgrade		Jan 2, 2027 → Jan 31, 2027	
Punch list to completion		Mar 1, 2027 → Apr 1, 2027	

Every dollar of cost basis is funded by the capitalization on page 18; no common equity is required at close. A further **\$642,693** was invested in the hotel between 2021 and 2025 across building envelope, mechanical systems, FF&E, technology and site works, outside the plan at right.

The hotel capital plan runs from **September 21, 2026 to April 1, 2027**; the schedule by trade is on page 9. The Dogwood Cove renovation follows the 45-day close on that parcel. Per-key figures are stated on 58 keys — 57 hotel keys plus the Dogwood Cove residence.

Estimated value positioned against market evidence.

PER-KEY POSITIONING

MEASURE	AMOUNT	PER KEY
Senior loan	\$12.84M	\$221,379
Total project cost basis	\$17.97M	\$309,840
Estimated as-is	\$21.40M	\$368,966
Estimated upon completion	\$26.00M	\$448,276
Estimated upon stabilization	\$29.50M	\$508,621
Waterfront sales · weighted avg	\$18.05M	\$396,000
Waterfront sales · median	\$15.00M	\$397,000
Recent resort trades · weighted avg	\$20.28M	\$463,000
Recent resort trades · median	\$10.75M	\$332,000

Values are stated for underwriting purposes and are subject to completion of the renovation and stabilization of operations. Per-key figures on 58 keys. Comparable per-key figures are on each property’s own key count.

THE POSITION

The as-is estimate of **\$368,966 per key sits below the average of both comparable sets** — the East Coast waterfront sales and the eight resort trades closed since January 2025 — and between the median and the average of the more recent set.

The stabilized estimate of **\$508,621 per key** sits below the two highest recent resort trades, at \$741,000 and \$893,000 per key, and is reached only after a \$3,303,000 capital program, the adjacent-parcel acquisition and brand affiliation.

Total project cost basis of **\$309,840 per key remains below the as-is estimate**, and the senior loan attaches at \$221,379 per key.

AS-IS VS WATERFRONT SALES AVG

6.8% below

LOAN VS AS-IS ESTIMATE

60.0%

Comparable hotel sales, resort and local.

EAST COAST WATERFRONT RESORT SALES

PROPERTY · MARKET	YEAR	KEYS	\$/KEY
Haven Montauk, NY · renovated	2023	26	\$577K
Sands Motel, Montauk, NY	2024	43	\$541K
Brass Lantern Inn, Nantucket, MA	2023	17	\$441K
Elizabeth Pointe, Fernandina Bch, FL	2024	25	\$410K
Beachside Hotel, Nantucket, MA	2021	94	\$404K
Sandpiper Gulf Resort, Ft Myers, FL	2023	63	\$397K
Montreal Beach Resort, Cape May, NJ	2021	70	\$329K
Creekside Inn, Plantation Key, FL	2021	38	\$329K
Weighted average · 11 sales	2022	46	\$396K
Median · 11 sales	2022	38	\$397K

Limited- and full-service waterfront hotels on the East Coast, 2021–2024. Not adjusted for date of sale, condition, location or scale.

LOCAL EASTERN SHORE TRANSACTIONS

PROPERTY · TOWN	YEAR	KEYS	\$/KEY
Hambleton Inn, Saint Michaels	2024	7	\$354K
Mariners Motel, Rock Hall	2025	12	\$200K
Robert Morris Inn, Oxford	2024	16	\$200K
Oaks Waterfront Inn, Royal Oak	2022	15	\$190K
Great Oak Landing, Chestertown	2020	28	\$169K
The Wildset, Saint Michaels	2020	20	\$160K
Bartlett Pear Inn, Easton	2021	8	\$125K
Kitty Knight House, Georgetown	2021	12	\$117K

Local transactions range from **7 to 28 keys** and comprise historic inns, bed-and-breakfasts and mid-century motels without food and beverage outlets, marina or event facilities. They establish small-inn pricing on the Eastern Shore rather than resort pricing, and are not comparable in scale, product or income base to a 57-key waterfront resort.

The subject carries two food and beverage outlets, 23 boat slips, a 3,722 SF event space and a saltwater pool — none present in the local set.

Recent transaction evidence and local market activity.

RECENT RESORT AND WATERFRONT HOTEL SALES

PROPERTY · MARKET	DATE	KEYS	\$/KEY
The Asticou Hotel · Northeast Harbor, ME	Mar 26	82	\$741K
Marginal Way House · Ogunquit, ME	Nov 25	30	\$333K
Beacon Suites Hotel · Somerville, MA	Nov 25	35	\$266K
Sandy Point Beach Resort · Alton Bay, NH	Oct 25	25	\$331K
White Barn Inn · Kennebunk, ME	Aug 25	28	\$893K
The Bayview Hotel · Bar Harbor, ME	May 25	26	\$285K
The Sparhawk Resort · Ogunquit, ME	Jan 25	89	\$337K
The Breakwater Inn & Spa · Kennebunkport, ME	Jan 25	35	\$329K
Weighted average · eight sales	–	44	\$463K
Median · eight sales	–	–	\$332K

Independent resort and waterfront hotels transacted between January 2025 and March 2026, averaging 44 keys. Not adjusted for date of sale, condition, location or scale.

EASTERN SHORE MARKET ACTIVITY

PROPERTY · TOWN	STATUS	KEYS	\$/KEY
Tilghman Island Inn · Tilghman	Under contract	20	\$260K
Robert Morris Inn · Oxford	Closed, relisted	16	\$200K
The Tidewater Inn · Easton	To market 2026	89	–

The **Tilghman Island Inn** is the nearest transaction and is reported under contract at \$5,200,000. It is a **20-key upper-midscale property configured as condominium units** on five acres, with 1,800 SF of meeting space and seven slips. It carries neither the key count, the two food and beverage outlets, the marina, the 3,722 SF of event space nor the income base of the subject, and it establishes small-inn pricing on the island rather than resort pricing.

WHAT THE LOCAL SET DOES ESTABLISH

The **Tidewater Inn**, an 89-key full-service hotel in Easton, is expected to be brought to market in 2026 and reported 2025 occupancy of 48% at a \$238 average rate on approximately \$950,000 of net operating income. It is the only property in the local set operating at institutional scale, and it does so at a rate 43% below the subject’s \$415 stabilized projection and without waterfront, marina or resort positioning. The **Robert Morris Inn** in Oxford, 16 keys, traded at \$200,000 per key in 2024 and is now closed and back on the market at a lower asking price. The local evidence brackets the subject rather than pricing it: small and partly distressed inns below, and a single larger property in a materially different product tier.

The eight resort transactions at left average 44 keys, closely matching the subject at 57 hotel keys, and support a per-key range of \$266,000 to \$893,000 with a median of \$332,000. The estimated as-is value of \$368,966 per key sits between that median and the average.

Sources and uses of funds at closing.

SOURCES	
Senior loan	\$12,840,000
Acquisition loan · 21441 Dogwood Cove	\$770,000
Preferred equity	\$4,360,734
Common equity at close	\$0
Total sources	\$17,970,734
CLOSING, LEGAL AND OTHER DETAIL	
Legal — borrower	\$65,000
Other closing costs	\$40,000
MD mortgage recording tax	\$25,558
Legal — lender	\$15,000
Processing and third-party fees	\$10,100
Total closing, legal and other	\$155,658

Financing costs across all three tranches total **\$715,288**, or 3.98% of total capitalization.

USES	
Existing loan payoff	\$10,714,782
Hotel capital improvement plan	\$3,003,000
Land and house acquisition · 21441 Dogwood Cove	\$1,100,000
Interest and carry reserve · 12 months	\$1,201,591
Working capital	\$500,000
Preferred current-pay reserve · 12 months	\$436,073
Dogwood Cove house renovation	\$300,000
Senior origination fee · 2.00%	\$256,800
Closing, legal and other	\$155,658
Broker fee · MMCC senior debt · 1.00%	\$128,400
Preferred origination fee · 2.00%	\$87,215
MMCC preferred equity placement fee · 2.00%	\$87,215
Total uses	\$17,970,734
Sources less uses	\$0

HOW THE PROCEEDS WORK

Proceeds retire the existing **\$10,714,782** loan, fund the **\$1,100,000** Dogwood Cove acquisition and **\$3,303,000** of capital improvements, and establish **\$2,137,664** of reserves and working capital — twelve months of combined debt service, twelve months of preferred current pay, and \$500,000 of working capital. No common equity is required at close and no proceeds are distributed to the sponsor.

Contact and next steps.

The financial model, historical operating statements, the purchase and sale agreement on the adjacent parcel and sponsor materials are available on request.

TOTAL CAPITALIZATION	SENIOR ALL-IN RATE	PREFERRED EQUITY
\$17,970,734	8.79%	\$4.36M



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